



Global Insights

Project Proposal

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Table of Contents

- 01** Background
- 02** Management problem
- 03** Research objectives
- 04** Research designs
- 05** Timetable



Background



Company Profile

- Apple, headquartered in California, is a global technology leader with a diverse product portfolio, primarily known for iPhone.

Apple's Market Position 2024

- China represents Apple's second-largest market, generating **\$15.03 billion in Q4 FY2024**.
- iPhone accounts for **40%** of Apple's overall sales, making it the company's most profitable product.

Competition Landscape

- Local brands Vivo and Huawei have captured **17%** and **16%** of smartphone market share respectively.
- iPhone sales dropped **25%**, marking worst performance in 10 years despite **\$70** discounts.



Current Challenges and Strategic Needs

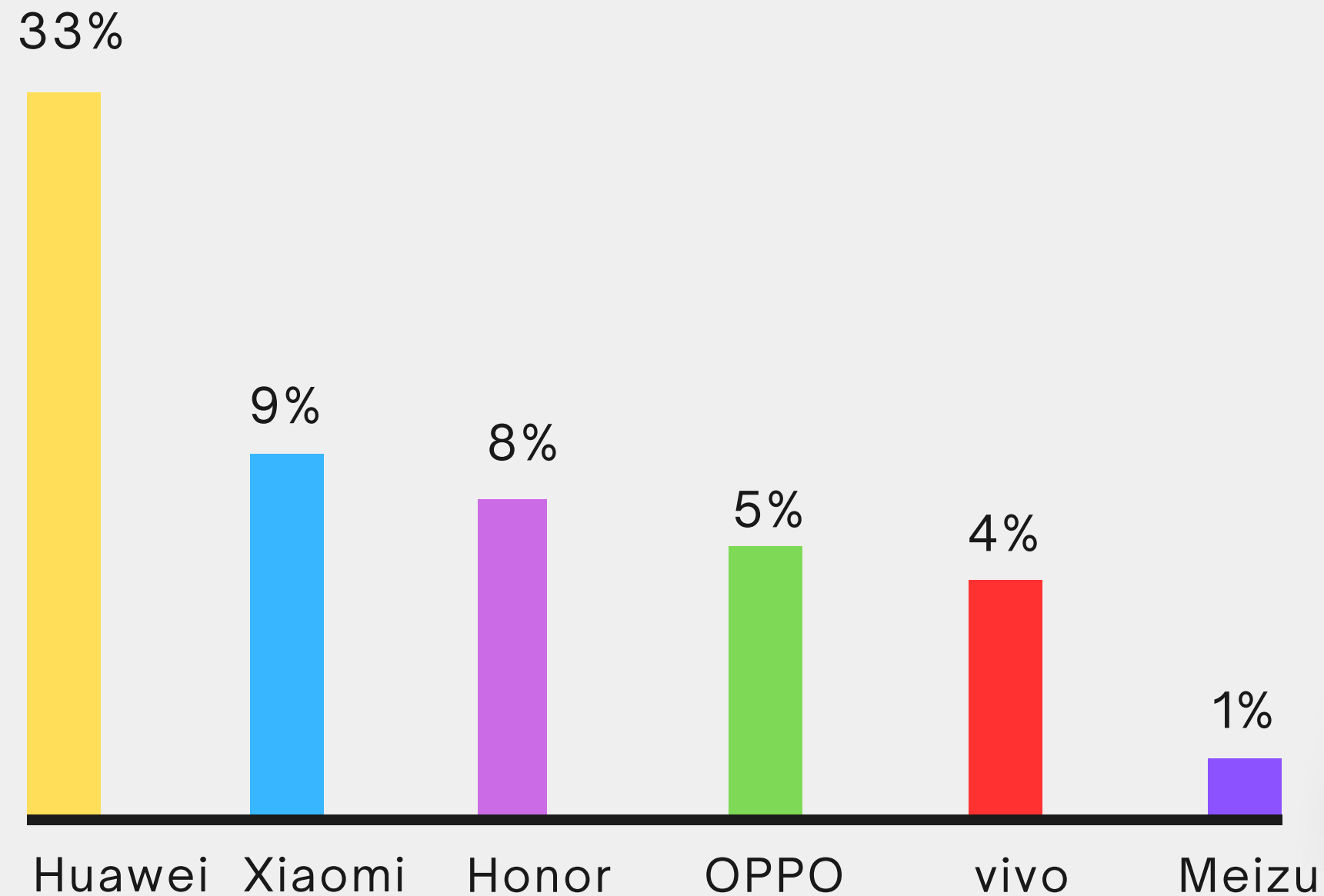
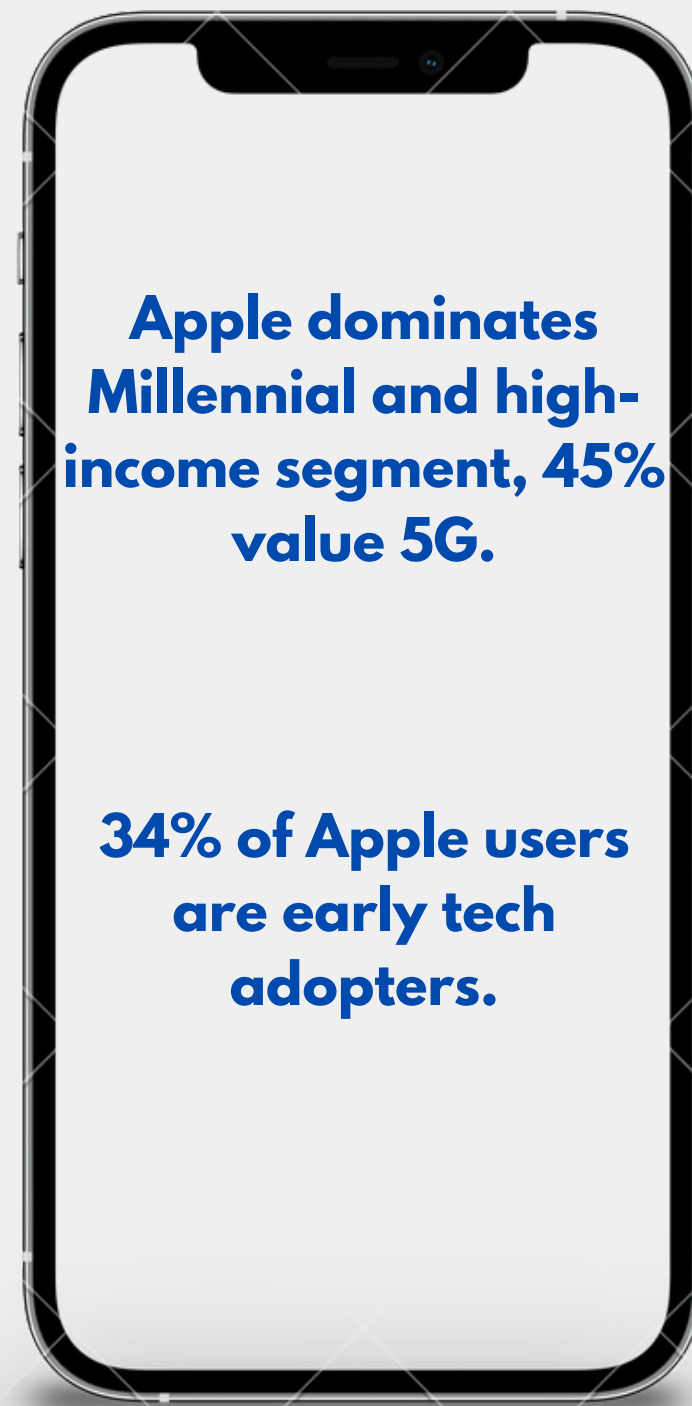


Figure 1: Most used smartphone brands in China



01 Technology and Innovation Gap:

- Chinese consumers favor **local brands with advanced AI**, while Apple faces regulatory limitations on AI features and ChatGPT access.

02 Strategic Implications:

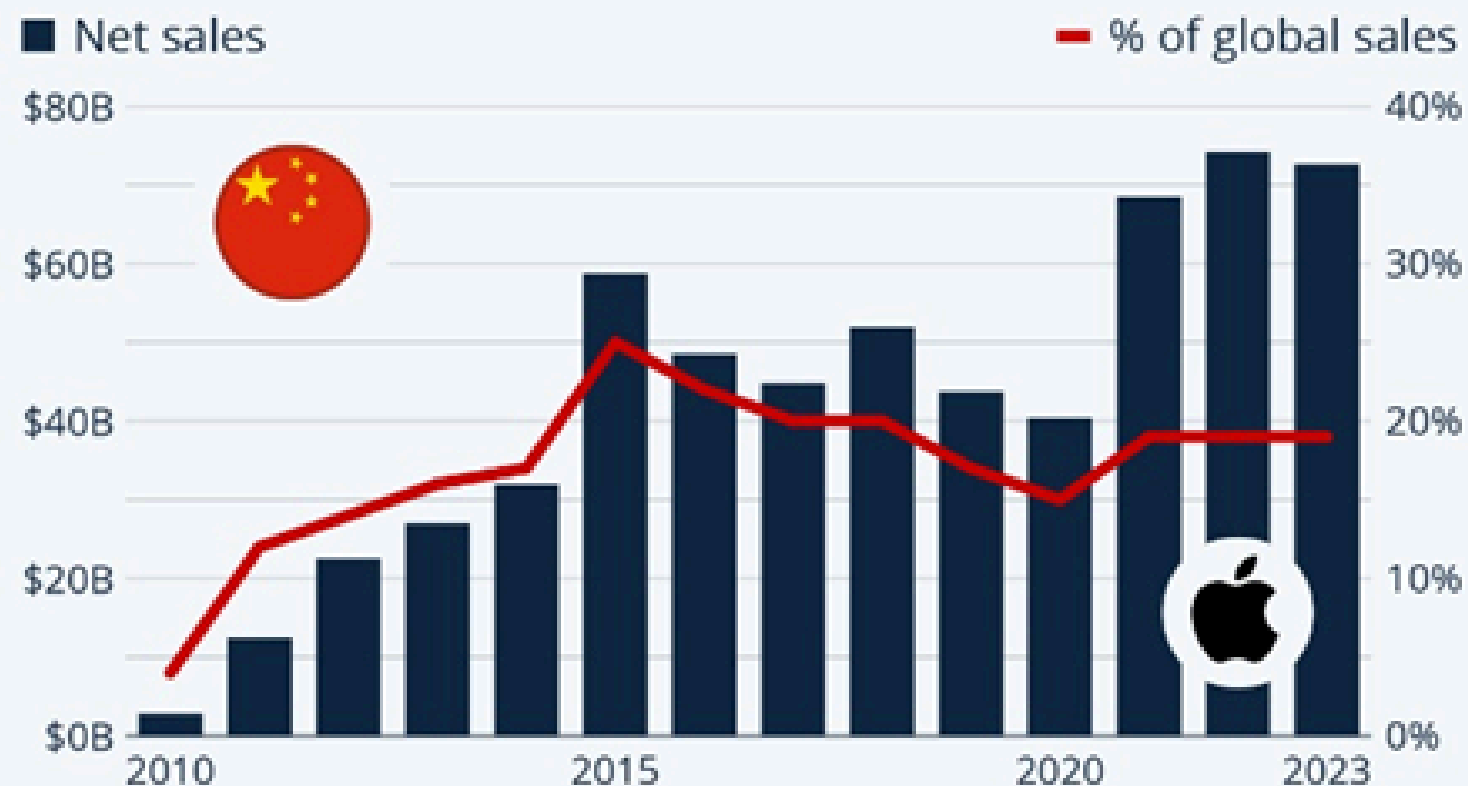
- Survey data showed that around **50%** of Chinese iPhone users delayed purchasing new model due to staged release of AI features.

Why This Issue Matters to Apple



01 Significant Revenue Source

Apple's sales in China account for a substantial portion of its total revenue, **nearly 20%**. China is Apple's largest market outside the United States. This implies that the financial impact of **declining sales is considerable**.



* Greater China includes Hong Kong and Taiwan; fiscal years end in September
Source: Apple



Why This Issue Matters to Apple



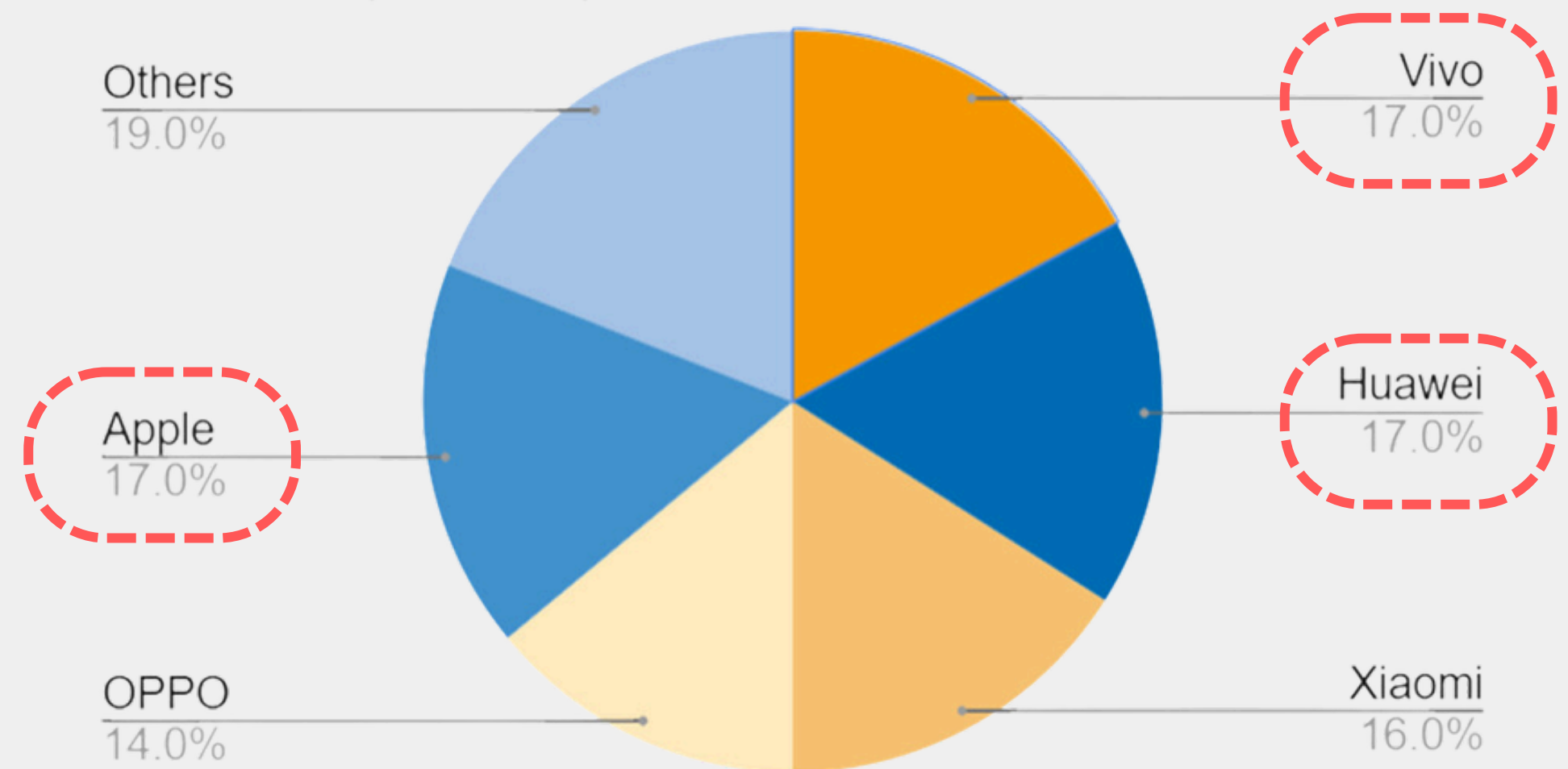
02 Potential Market

China is the world's largest smartphone market with **significant growth potential**. Competitors like Huawei and Vivo have market shares that indicate **a narrow gap with Apple in the last quarter of 2024**.

03 Declining iPhone Sales

Despite maintaining market share, **iPhone sales in China** experienced a double-digit decline, with an **18.2% decrease**. This decline highlights an uneven performance for the latest iPhones.

China smartphone shipment, 4Q24



Management Problem & Research Objectives

- 01** Analyse **smartphone market trends and competitive landscape** in China (secondary research)
- 02** Explore **consumer perceptions** and barriers to iPhone adoption (exploratory research)
- »



- 03** Measure **key factors influencing** iPhone purchase decisions (descriptive research)
- 04** Assess **consumer preferences** for iPhone features (causal research)

Research Design

Step 1: Exploratory Research

- Objective 1: Secondary Research
- Objective 2: 1-to-1 Interview

Step 2: Descriptive Research

- Objective 3: Survey

Step 3: Causal Research

- Objective 4: Conjoint Analysis

Research Design - Exploratory Research

Secondary Research

Objective 1:

Analyse smartphone market trends and competitive landscape in China



01 Current market situation of the Chinese smartphone market

- Analyze Chinese smartphone sales in 2024 and the growth rate in recent years & relevant macro factors affecting market trends
- Predict the future market trends and analyse whether the potential to increase

02 Competition in the Chinese smartphone market

- Analyze the advantages of current competitors and their future research direction
- Analyze Apple's current marketing strategies and how effective these strategies are, and then make improvement and optimization

Research Design - Exploratory Research

1-to-1 Interview

Objective 2:

Explore
consumer
perceptions and
barriers to
iPhone



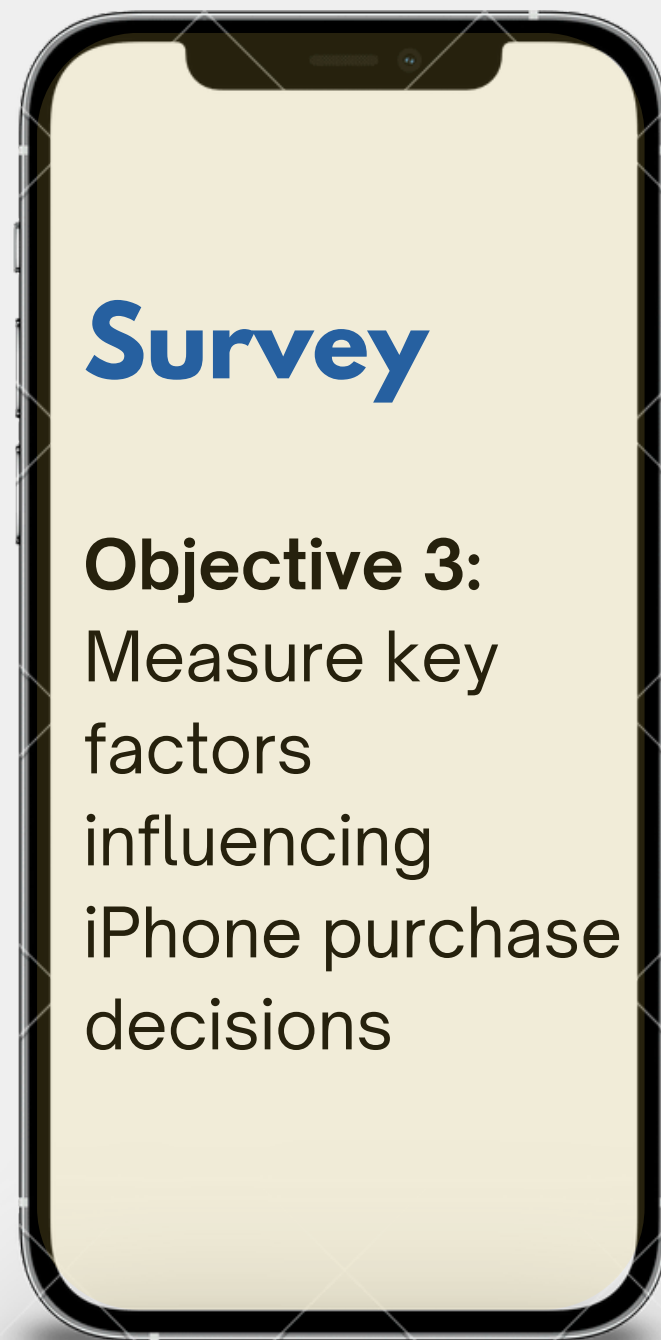
Target Group

- **Group 1:** Consumers who previously purchased iPhones but switched to other brands (e.g., Xiaomi, Huawei, Samsung)
- **Group 2:** Consumers who initially bought other brand smartphones and later chose to buy an iPhone

Sample Size: 10 interviewees (5 from each group)

Interview Focus: Open-ended questions
Factors influencing purchasing decisions
Consumer perceptions of the iPhone
Brand loyalty considerations
Barriers encountered during decision-making

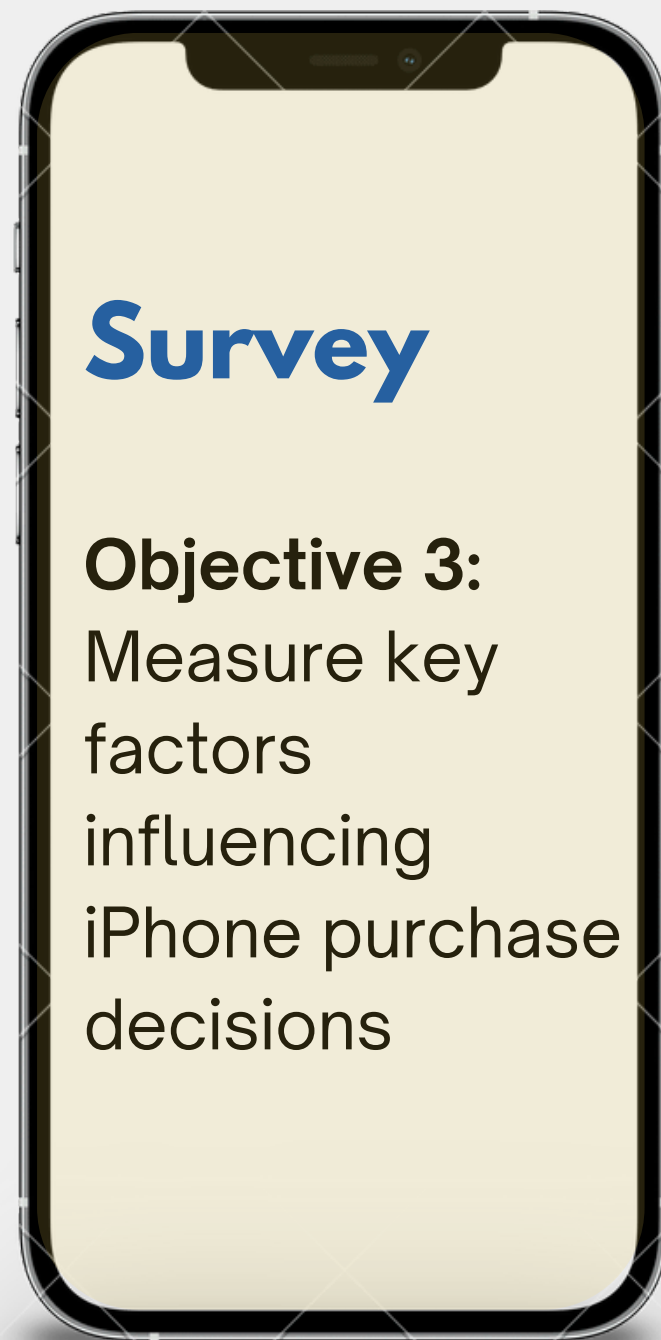
Research Design - Descriptive Research



Survey Content

- **Demographic Information:** Age, gender, education level, etc.
- **Consumer Behavior:** Frequency of purchases, channels used, usage habits, decision factors
- **Satisfaction & Importance:** Overall phone performance, specific features (battery life, camera quality, AI performance, after-sales service) using rating scales
- **Brand Perception:** Apple vs. other brands like Huawei

Research Design - Descriptive Research



Data Collection

- **Sample Size:** 100 Chinese smartphone users
- **Distribution Channels:** Online platforms and retail stores

Data Analysis

- Descriptive statistical analysis
- Cross-tabulation analysis
- Correlation analysis

Research Design - Causal Research

Conjoint Analysis

Objective 4:

Assess
consumer
preferences for
iPhone features

Conjoint Analysis: 100 Chinese smartphone users

Factors: Price, battery life, camera quality, storage capacity, etc
(learned from the previous research).

Design hypothetical iPhone models.

Consumers rank models by preferences

Analyze data using conjoint analysis (ANOVA or Regression Analysis)



Timetable

Time	Task
Feb 18 - Feb 20	Design interview questions and survey content
Feb 21 - Feb 27	Conduct interview and online and offline surveys
Feb 27 - <u>Mar 4</u>	Exploratory data collation and analysis Exploratory Research Report writing
Mar 4 - Mar 18	Conduct causal research and conjoint analysis
Mar 18 - <u>Mar 25</u>	Detailed data analysis and Final Report writing





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Thank You
